

# Leave Policy

NovaTech Innovations Inc.

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# 1. Introduction to Leave Benefits

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## **Purpose of the Leave Policy**

NovaTech Innovations recognizes that employees require time away from work for rest, recuperation, personal obligations, and emergencies. A healthy work-life balance is essential for long-term productivity and employee satisfaction.

This Leave Policy outlines the various types of leave available, the accrual mechanisms, and the procedures for requesting and approving time off. This policy applies to all regular full-time and part-time employees.

## 2. Annual Leave (Paid Time Off - PTO)

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### Accrual and Entitlement

Employees accrue Annual Leave based on their tenure with the company. Accrual begins on the first day of employment and is credited to the employee's balance at the end of each pay period.

For the first three years of employment, full-time employees accrue 15 days of Annual Leave per calendar year. From years four to seven, this increases to 20 days. Employees with over seven years of service accrue 25 days.

### Requesting and Approval

To ensure adequate staffing and operational continuity, employees must submit requests for Annual Leave through the HRIS portal as far in advance as possible.

For leave periods of up to 3 days, a minimum of one week's notice is required. For leave periods exceeding 3 days, a minimum of two weeks' notice is required. Managers will review and approve requests based on departmental workload and coverage.

### Carryover and Encashment

Employees are encouraged to use their Annual Leave within the calendar year it is accrued. However, employees may carry over a maximum of 5 days of unused Annual Leave into the following calendar year. Any excess balance will be forfeited.

Upon voluntary resignation or termination (excluding gross misconduct), accrued but unused Annual Leave will be paid out to the employee in their final paycheck at their current base rate of pay.

## 3. Sick and Wellness Leave

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### Entitlement and Usage

Full-time employees are entitled to 10 days of paid Sick Leave per calendar year. This leave is intended for personal illness, injury, medical appointments, or to care for a sick immediate family member.

Sick Leave is front-loaded at the beginning of each calendar year. New hires will receive a pro-rated amount based on their start date.

### Documentation Requirements

If an employee is absent due to illness for three or more consecutive workdays, NovaTech reserves the right to request a medical certificate from a registered healthcare professional.

Failure to provide requested medical documentation may result in the absence being classified as unpaid leave or subject to disciplinary action.

**Important:** Sick leave cannot be cashed out at the end of the year or upon termination of employment.

## 4. Family and Parental Leave

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### **Maternity Leave**

NovaTech provides up to 16 weeks of fully paid Maternity Leave to eligible employees following the birth or adoption of a child. This is to ensure mothers have ample time to recover and bond with their new child.

Employees must provide HR with at least 60 days' notice prior to the anticipated start date of the Maternity Leave, accompanied by medical documentation of the pregnancy or legal documentation of the adoption.

### **Paternity / Secondary Caregiver Leave**

Secondary caregivers are entitled to 6 weeks of fully paid Paternity Leave following the birth or adoption of a child. This leave must be taken within the first six months following the child's arrival.

## 5. Other Leave Categories

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### **Bereavement Leave**

In the unfortunate event of the death of an immediate family member (spouse, child, parent, sibling), employees are granted up to 5 days of paid Bereavement Leave. For extended family members, 2 days are granted.

### **Jury Duty and Voting Leave**

NovaTech supports employees in fulfilling their civic duties. Employees summoned for jury duty will receive their regular base pay for up to 10 days of service. Employees are also allowed up to 2 hours of paid time off to vote in local or national elections if they cannot do so outside of working hours.

### **Unpaid Sabbatical**

Employees with at least five years of continuous service may apply for an unpaid sabbatical of up to three months for purposes of education, travel, or personal development. Approval is at the discretion of the department head and HR.

## 6. Roles and Responsibilities

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### Employee Responsibilities

Every employee at NovaTech Innovations is expected to familiarize themselves thoroughly with the Leave Policy. Ignorance of the policy is not an acceptable excuse for non-compliance. Employees must actively apply these guidelines in their daily routines and decision-making processes.

It is the duty of the employee to seek clarification from their direct manager or the Human Resources department if any aspect of this policy is unclear. Furthermore, employees are required to report any known or suspected violations of this policy immediately through the appropriate channels.

- Read and acknowledge receipt of the policy document annually.
- Participate in mandatory compliance training sessions.
- Maintain transparency and open communication with management.
- Cooperate fully during any internal investigations related to policy breaches.

### Managerial Responsibilities

Managers and supervisors act as the primary enforcers and role models for the Leave Policy. They must ensure that their team members understand and adhere to all stipulations contained herein.

Managers are also responsible for consistently applying this policy without bias or favoritism. Any discrepancies in enforcement can lead to legal liabilities and a breakdown in team morale.

- Provide guidance and support to team members regarding policy details.



- Monitor compliance within their respective departments.
- Document and address any minor infractions through coaching and verbal warnings.
- Escalate severe or repeated violations to Human Resources.

## **Human Resources Responsibilities**

The Human Resources (HR) department is the ultimate owner of the Leave Policy. HR is tasked with ensuring the policy remains compliant with local, state, and federal laws, updating it as necessary to reflect organizational changes or legal requirements.

HR serves as an impartial mediator and investigator in cases where policy violations are reported. They are responsible for administering disciplinary actions in a fair and documented manner.

## 7. Policy Enforcement and Disciplinary Action

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### Progressive Discipline Framework

NovaTech Innovations employs a progressive discipline model to address violations of company policies. The goal of this framework is to correct undesired behavior and provide employees with the opportunity to improve, rather than immediately resorting to punitive measures.

However, the company reserves the right to bypass progressive steps and proceed directly to severe disciplinary action, including termination, for egregious offenses.

- Step 1: Verbal Warning - A documented conversation outlining the infraction and expected corrections.
- Step 2: Written Warning - A formal document placed in the employee's personnel file, detailing the failure to improve.
- Step 3: Final Written Warning / Suspension - Severe warning that may include unpaid suspension pending investigation.
- Step 4: Termination of Employment - Final action taken when previous steps fail or the offense is critically severe.

### Investigation Procedures

Upon receiving a report of a policy violation, HR will initiate a prompt, thorough, and objective investigation. All parties involved, including witnesses, will be interviewed, and relevant documentation will be reviewed.

Confidentiality will be maintained to the highest degree possible throughout the investigation process to protect the privacy of the complainant, the accused, and any witnesses.

## 8. Review, Revisions, and Acknowledgement

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### Annual Review Cycle

The Leave Policy is subject to an annual review by the executive committee and legal counsel. This ensures that the policy aligns with the evolving strategic goals of NovaTech Innovations and complies with all relevant employment laws.

Employees will be notified of any substantive changes to the policy via official company communication channels. Updated versions will be immediately available on the company intranet.

### Employee Acknowledgement

Upon joining the company, and subsequently upon any major revision of this policy, employees will be required to sign a digital acknowledgement form. This form certifies that they have read, understood, and agreed to comply with the terms set forth.

Failure to sign the acknowledgement form does not exempt an employee from the requirement to adhere to the policy.